anything, nor was I privy to any of the department files," she claims. Her argument is that during the period covered by the audit (2018-23), the health department reported to then chief minister Mamata Banerjee.

The Private Nursing Homes and Hospitals Owners' Association has taken a similar stand. President Sheikh Alhajuddin says they were unaware of the details of the audit or the grading methodology. "We are a lobbying group and we cooperate with the government. We don't know how the gradation system worked," he says.

Meanwhile, on August 16, Bengal formally joined Ayushman Bharat. The government say it will offer 14.3 million eligible families up to Rs 5 lakh a year in cashless secondary and tertiary care, with portability across the country. Swasthya Sathi will continue during the transition period (2-3 months), while the new Mukhya Mantri Swasthya Bima Yojana will cover those who do not qualify for Ayushman Bharat.

PROMISE VS REALITY

Perhaps the most politically sensitive finding concerns the out-of-pocket expenses for patients under a scheme promoted as cashless. Joint inspections of 65 empanelled private hospitals across six districts found that none of them had a system for providing free outpatient consultations to Swasthya Sathi beneficiaries. The audit surveyed 399 patients who had received treatment under the scheme. Of them, 141 reported paying consultation fees ranging from Rs 70 to Rs 700 before admission, while 112 said they spent between Rs 250 and Rs 20,000 on diagnostic tests prior to hospitalisation. According to the auditors, this was contrary to the scheme's design, under which consultations, diagnostics, medicines and transport allowances were to be covered in the treatment package.

Oversight mechanisms also appear to have been largely absent. Insurance companies were contractually required to conduct beneficiary audits by randomly visiting discharged patients to verify treatment quality and collect feedback.



"While billing, they would break one operation into four.... The Swasthya Sathi committee did nothing. All stakeholders were hand in glove"

DR SHARADWAT MUKHERJEE
Health and family welfare minister



"I have not seen the CAG report, so I can't comment on it. Also, I was never consulted for anything, nor was I privy to the department files"

CHANDRIMA BHATTACHARYA
Ex-minister for health and family welfare

Yet auditors found no documentary evidence that such audits had been conducted in the six districts examined.

Post-discharge medical audits—another safeguard against fraudulent claims—were introduced only in January 2023. Audits conducted over the next two months imposed Rs 11.8 crore in penalties on hospitals, but only Rs 8.4 crore has been recovered. Even the grievance redressal mechanism wasn't working. Complaints were neither automatically acknowledged nor assigned tracking numbers. The online portal had no escalation mechanism or SMS alerts to inform beneficiaries.

BEYOND ACCOUNTING

The CAG audit also revisits Bengal's decision to withdraw from the Ayushman Bharat alliance. The state had signed an agreement with the National Health Authority (NHA) in May 2018 under which funding was to be shared in a 60:40 ratio. West Bengal deposited Rs 231.7 crore into an escrow account and received Rs 193.3 crore from the Centre before rolling out the programme in September 2018. But four months later, the state exited the arrangement, citing violations of the MoU, and refunded Rs 162.1 crore to the Centre after adjusting for expenditure already incurred. The CAG report says that apart from the central assistance, Bengali migrant workers lost out as they could not access Ayushman Bharat's nationwide network of cashless hospitals.

Critics of the former TMC regime point to the scheme's perceived faults—excess expenditure, inflated hospital gradings, lack of overseeing staff, weak beneficiary verification et al—as symptoms of a larger governance deficit. The new health minister alleges that hospitals inflated claims by splitting one surgery into multiple billable procedures. "While billing, they would break one operation into four," Sharadwat alleges. Calling it an organised racket, he says, "The Swasthya Sathi committee did nothing. All the stakeholders were hand in glove."

Government sources say the central agencies may be asked to probe the irregularities. The BJP government has promised accountability and a review of legacy welfare schemes. The hope now is that the CAG report will be reduced to mere vendetta politics but will result in an overhaul of the public health system, with tighter oversight over programme governance. ■